

CASE ID: 201812710020

EPISODE NAME: China Responds to Meng Wanzhou Arrest

2018/12/09 - 2022/05/09

Sender: China (710)

Target: Canada (20)

Issue: Release Citizens, Property, or Material (4)

Final Outcome: Total Acquiescence by Target State following sanctions imposition (7)

Summary:

On 2018/12/09, China threatened Canada with “grave consequences” after Canadian authorities arrested Huawei CEO Meng Wanzhou. China responded by arresting two Canadian citizens on 2018/12/10. Reports of restrictions on Canadian exports, beginning with canola then expanding to oil agricultural products, began on 2019/02/05. The episode ended on 2022/05/19 when China lifted the last of its export restrictions, months after Meng was released.

Narrative:

On 2018/12/09, China vaguely threatened Canada after Canadian authorities arrested Huawei executive Meng Wanzhou on 2018/12/01.¹² Meng faced charges in the United States for her role in covering up Huawei’s connection to a company that violated sanctions targeting Iran.³ China’s ministry of Foreign Affairs issued the threat, saying that if Canada did not release Meng it would face “grave consequences.”⁴ Contemporary reporting suggested that Canadian officials expected Beijing’s response to result in significant economic damages.⁵

On 2018/12/10, Canadian nationals Michael Kovrig and Michael Spavor were detained by China in retaliation for Meng’s arrest.⁶ After this did not secure Meng’s release, reports emerged on 2019/02/05 that permits to export canola to China were becoming more difficult to obtain and

¹ Zhou Xin and Keegan Elmer. “Beijing blames Canada for Huawei arrest and threatens ‘grave consequences for hurting feelings of Chinese people’.” *South China Morning Post*, 9 Dec. 2018.
<https://www.scmp.com/news/china/diplomacy/article/2177091/beijing-blames-canada-huawei-arrest-and-threatens-grave>

² Horowitz, Julia. “Huawei CFO Meng Wanzhou arrested in Canada, faces extradition to United States.” *CNN*, 1 Dec. 2018. <https://www.cnn.com/2018/12/05/tech/huawei-cfo-arrested-canada/index.html>

³ Zhou Xin and Keegan Elmer. “Beijing blames Canada for Huawei arrest and threatens ‘grave consequences for hurting feelings of Chinese people’.” *South China Morning Post*, 9 Dec. 2018.
<https://www.scmp.com/news/china/diplomacy/article/2177091/beijing-blames-canada-huawei-arrest-and-threatens-grave>

⁴ “Foreign Ministry Summons Canadian Ambassador to China to Lodge Solemn Representations Against Unreasonable Detention of a Corporate Executive of Huawei by the Canadian Side” *Ministry of Foreign Affairs of the People’s Republic of China*, 8 Dec. 2019.
https://www.fmprc.gov.cn/eng/gjhdq_665435/3376_665447/3382_664830/3384_664834/202406/t20240612_11425368.html

⁵ Zhou Xin and Keegan Elmer. “Beijing blames Canada for Huawei arrest and threatens ‘grave consequences for hurting feelings of Chinese people’.” *South China Morning Post*, 9 Dec. 2018.
<https://www.scmp.com/news/china/diplomacy/article/2177091/beijing-blames-canada-huawei-arrest-and-threatens-grave>

⁶ “Michael Kovrig and Michael Spavor: China Charges Canadians with Spying.” *BBC News*, 19 June 2020.
<https://www.bbc.com/news/world-asia-china-53104303>.

that customs inspections had doubled in length.⁷ Canola imports from two large companies – Richardson International and Viterra – were formally blocked on 2019/03/01 and 2019/03/26 respectively, with China claiming the bans were because of pest concerns.⁸⁹ By 2019/04/29, reports emerged that a growing list of Canadian agricultural products were facing obstacles at Chinese ports, including pork, soybeans, and peas.¹⁰ Losing the Chinese market forced the Canadian government to provide \$27 million in support to the agricultural industry.¹¹

Tensions began to ease on 2021/09/04, when the United States agreed to dismiss charges against Meng in return for her admission of guilt.¹² She returned to China and Korvig and Spavor were released on the same day.¹³ The episode ended on 2022/05/09, after the last of the informal agricultural bans appears to have been lifted.¹⁴

⁷Nickel, Rod, Dominique Patton and Hallie Gu. “Canadian canola runs into Chinese delays after Huawei arrest.” Reuters, 5 Feb. 2019.

<https://www.reuters.com/article/business/canadian-canola-runs-into-chinese-delays-after-huawei-arrest-idUSKCN1P U231/>

⁸ “China blocks canola shipments from Canada’s Richardson: Customs document.” *CNBC*, 5 March 2019.

<https://www.cnn.com/2019/03/05/china-blocks-canola-shipments-from-canadas-richardson.html>

⁹ Patton, Dominique and Julie Gordon. “China widens ban on Canadian canola imports to second firm, Viterra.” *Reuters*, 26 March, 2019.

<https://www.reuters.com/article/world/china-widens-ban-on-canadian-canola-imports-to-second-firm-viterra-idUSK CN1R713B/>

¹⁰ “Canadian soybeans, peas and pork face new delays at China’s ports.” *South China Morning Post*, 29 April 2019. <https://www.scmp.com/news/china/diplomacy/article/3008119/canadian-soybeans-peas-and-pork-face-new-delays-chinas-ports>

¹¹ Chase, Steven. “‘Since the end of December we have not sold a single vessel’: Canadian farmers continue to struggle with China’s ban on exports.” *The Globe and Mail*, 4 Aug. 2019.

<https://www.theglobeandmail.com/politics/article-the-chinese-ban-on-canadian-agricultural-exports-is-increasingly/>

¹² “U.S. dismissing charges against Huawei’s Meng Wanzhou.” *CBC*, 2 Dec. 2022.

<https://www.cbc.ca/news/world/us-charges-meng-wanzhou-1.6671878>

¹³ Ibid.

¹⁴ “China lifts curbs on Canadian canola, demand seen muted.” *Reuters*, 9 May 2022.

<https://www.reuters.com/markets/commodities/china-lifts-curbs-canadian-canola-demand-seen-muted-2022-05-19/>